

The company recognised that industry trends are evolving rapidly and are now favouring focused and ambitious mid-tier challengers. High-quality challengers are capturing market share from larger competitors. According to Sumit Pokharna, VP of Fundamental Research at Kotak Securities, the time is right for these companies to continue expanding their share of IT services spending. Clients are now more willing to bring challengers on board, recognising their advantages: a higher willingness to provide proactive solutions and proposals, greater responsiveness to client needs, a stronger propensity to transform current operations—even when it may cannibalise existing revenue—and more flexibility in pricing, costs, resources, and contractual structures.

“We developed expertise in Cloud, data, AI, and generative AI before many of our competitors. Strategic acquisitions further strengthened our foothold in key areas like cloud security, data privacy, and contact centre AI,” says Kalra, adding that Persistent’s proactive approach in building capabilities ahead of the curve sets it apart.

EMERGING AS A CHALLENGER

Founded in 1990 by Anand Deshpande, who now serves as the Executive Chairman, Persistent Systems made its public debut in 2010. Since then, it has faced stiff competition from industry giants. But Kalra believes its deep technical expertise gives it an edge.

“Our execution capabilities, as recognised in Gartner’s Magic Quadrant, surpass that of many larger competitors. We don’t just offer services; we understand our

customers’ business problems and deliver tailored solutions. Our size allows us to be agile and highly responsive, something that the bigger firms often struggle with. Additionally, our strong relationships with major tech players bolster our credibility and market position,” he says.

Many mid-tier companies have developed enough expertise and scale to partner with big clients and have strategically focused on areas that have brought them success. “Persistent Systems, in particular, ticks all the right boxes and meets the prerequisites for consistent, strong growth and market share gains. With a solid CEO and leadership team, a robust client base, and strong account mining capabilities, Persistent has demonstrated its ability to be nimble and capitalise on demand opportunities such as cost take-outs, vendor consolidation, and niche markets like private equity channels,” says Pokharna.

Under Kalra’s leadership, Persistent Systems organised its operations around industry verticals and service lines. Key moves included strengthening leadership, partnering Microsoft, Amazon, and Google, apart from expanding the customer base.

“We made seven strategic acquisitions over the past five-and-a-half years, bolstering our capabilities in Cloud, data, and generative AI. Moreover, we developed our own platform, SASVA, to harness the power of generative AI, filed over 20 patents in this domain, and partnered with leading tech firms to build intellectual property on their platforms,” says Kalra.

LEADING THE WAY

The company is pivoting to an AI-led, platform-driven approach. Kalra sees generative AI as the next frontier. Persistent is investing heavily in the segment. “Generative AI is becoming mainstream, and we’re doubling down on SASVA, while collaborating with Microsoft, Amazon, and Google to co-develop solutions. The goal is to disrupt the market by delivering outcome-based solutions rather than just manpower-driven services. We aim to become a \$2 billion company by FY27 while maintaining profitability and growing faster than the market,” he says.

Beyond Persistent’s growth story, Kalra sees India as a potential AI powerhouse, provided it shifts from a services-oriented mindset to a technology-development approach. “If India trains its workforce in emerging technologies, it can unlock massive opportunities for the services sector,” he says.

Kalra’s strategic vision and Persistent Systems’ focus on innovation position them as a leader in India’s digital transformation journey. **BT**

REVENUE BREAK-UP		
SEGMENT-WISE REVENUE	YEAR ENDED (In ₹crore)	
	MARCH 31, 2023	MARCH 31, 2024
BFSI	2,723	3,139
HEALTHCARE & LIFE SCIENCES	1,616	2,088
TECH COMPANIES, EMERGING VERTICALS	4,011	4,595
TOTAL	8,351	9,822

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